

Financial & Behavioral Psychology

Investor psychology, biases, discipline, and decision hygiene

- Level: All levels
- Format: Self-paced micro-lessons + exercises
- Estimated time: 6-10 hours
- Last update: 2025-12-26

Most investors do not fail because they lack information; they fail because emotions, bias, and inconsistency sabotage decisions. This module teaches decision hygiene, bias awareness, and systems that reduce emotional mistakes.

Rule: Build systems that work when you are stressed, tired, or excited.

1. Learning Outcomes

By the end of this module, the learner will be able to:

- Identify common behavioral biases that hurt performance
- Create routines to reduce impulsive decisions
- Use journaling to improve decisions over time
- Build discipline through pre-commitment and checklists

Prerequisites

- Honest self-reflection
- Willingness to follow a process even when it feels boring

2. Curriculum Map (Suggested Path)

Unit	Focus	Key Deliverable
1	Emotions and market behavior	Emotion map
2	Biases (loss aversion, overconfidence, etc.)	Bias checklist
3	Decision hygiene and journaling	Journal template
4	Building habits and discipline	Routine plan
5	Stress management and recovery	Recovery protocol

3. Core Concepts

The emotional cycle of markets

Human behavior often follows cycles: optimism, excitement, euphoria, anxiety, fear, capitulation, and recovery. Recognize your own patterns to avoid buying high and selling low.

Key behavioral biases

Biases are predictable errors in judgment.

- Loss aversion: losses feel worse than gains feel good
- Recency bias: over-weighting recent events
- Confirmation bias: seeking info that agrees with you
- Overconfidence: underestimating uncertainty
- Herding: following crowds without a thesis

Decision hygiene

High-quality decisions come from good inputs and a consistent process. Remove noise, define criteria, and document reasons before acting.

Discipline beats intensity

Small consistent actions outperform bursts of motivation. Build a routine that is easy to repeat.

4. Practical Toolkit

Use these templates and checklists while you learn. Keep them in your investor journal.

Investor Journal Template

Turn experience into feedback and learning.

- Date, market context, and your emotional state
- Thesis summary (1-2 lines)
- Entry, size, risk plan, exit rules
- What could go wrong?
- Post-review: what happened and what you learned

Pre-Trade Checklist

Stop impulsive actions.

- Do I understand the idea in one sentence?
- Is my risk capped with a clear invalidation?
- Is my position size aligned with my risk budget?
- Am I acting due to fear of missing out?
- If I cannot explain it, I do not do it.

Recovery Protocol

Prevent emotional spirals after losses.

- Pause trading/investing for 24 hours after a large loss
- Review journal and identify the mistake category
- Reduce size by 50% for the next 3 decisions
- Rebuild confidence with process, not revenge trading

5. Hands-on Exercises

Map your triggers

Identify situations that cause impulsive decisions.

- List 3 emotions that lead you to bad decisions
- Write what triggers each emotion
- Write a replacement action (pause, checklist, smaller size)

Output: Trigger-response map

Bias audit

Review the last 5 decisions and tag biases.

- Pick 5 past decisions
- For each, mark possible biases involved
- Write one prevention rule per bias

Output: Bias prevention plan

Build your weekly routine

Create a repeatable investor routine.

- Choose 2 weekly review times
- Define what you check (allocation, risk, journal)
- Write a 10-minute routine checklist

Output: Weekly routine checklist

6. Quick Assessment (Self-Check)

Answer in 5-10 minutes. If you miss more than 2 questions, review Units 1-3.

- 1. What is loss aversion and how does it appear in investing?
- 2. How does journaling improve decision quality?
- 3. Name two ways to reduce impulsive decisions.
- 4. What is confirmation bias?
- 5. Why is a recovery protocol important?

7. Mini Glossary

Bias: A predictable judgment error.

FOMO: Fear of missing out; impulsive chasing.

Decision hygiene: Practices that keep decisions clean and repeatable.

Pre-commitment: Deciding rules in advance to prevent impulsive change.

Revenge trading: Taking new risk to quickly recover losses.

8. Next Steps

Apply psychological discipline to Risk Management: rules are only useful when you follow them consistently.

- Journal every decision for 30 days.
- Use the checklist before any new position.
- Do a weekly bias review.